

Sustainable development review

continued

Health

DRDGOLD's occupational health strategy has two thrusts: trying to eliminate or reduce the source of health problems and regular medical monitoring of employees – particularly those most at risk – in an effort to prevent such problems occurring and to detect symptoms as soon as possible.

The most significant occupational health diseases at DRDGOLD's operations are occupational lung disease (OLD) comprising silicosis and chronic obstructive airway disease, which can be caused by exposure to silica dust in operations with quartz-bearing rock; pulmonary tuberculosis (TB), the risk of contracting which is increased by exposure to silica and when people are HIV-positive; and noise-induced hearing loss (NIHL), which can occur when employees are consistently exposed to high levels of noise – in excess of 85 decibels (dBA) – over an extended period of time.

Medical monitoring

DRDGOLD's occupational health care programme makes provision for employees to undergo initial, periodic and exit medical surveillance examinations. Employees are screened for heat tolerance, NIHL and TB. With respect to TB, Blyvoor runs a Directly Observed Treatment (DOT) regime which is aligned with the World Health Organisation guidelines. Statutory records are kept and compensation claims submitted to the Medical Bureau for Occupational Diseases (MBOD).

In total, 10 023 (2 789 initial, 6 549 periodic and 685 exit) examinations were performed during FY2011. Seventeen diagnostic audiograms (FY2010: 92) were conducted and 33 NIHL cases (FY2010: 48) were submitted to the MBOD for possible compensation. In all, 93 new cases of TB were identified compared with 95 in the previous year, while 10 cases of OLD (FY2010: 67) were submitted to the MBOD.

Addressing the causes

In terms of addressing the causes of health problems, employees are made aware of the importance of ear protection and the long-term effects of NIHL. At Blyvoor, all rock drills have been muffled to sound levels of approximately 110dBA and 25 Sulzer rock drills, which are quieter and use less air, are currently in use. In addition, approximately 70% of all fans installed for underground cooling have been fitted with silencers.

The major drive to prevent silicosis by eliminating dust at all the main sources continues. Blyvoor has installed three 'foggers', which create an ultra fine mist to attach to very fine dust particles, at its main tipping areas, and the installation of a fourth system is under investigation.

HIV & AIDS

DRDGOLD's HIV & AIDS programme focuses on prevention measures, early detection and on providing or facilitating treatment when employees are found to be HIV-positive. Prevention measures include awareness campaigns (education sessions and posters, for example), the distribution of condoms and wellness programmes, which are run at the Khotso-Caritas Hospice (situated on the ERPM property) and at Blyvoor. Employees are encouraged to go for voluntary counselling and testing (VCT). When medically indicated, anti-retroviral therapy (ART) is made available.

Community development

DRDGOLD is committed to making a difference to the communities which surround its operations. Community projects are divided into two broad categories: local economic development (LED) and corporate social investment. In FY2011, the company spent R15.8 million (FY2010: R5.3 million) on community projects.

LED projects form part of the operations' Social and Labour Plans – the plans that are required in terms of the Mineral and Petroleum Resources Development Act as a prerequisite for the granting of mining rights. DRDGOLD ensures that the projects it undertakes are in line with the local municipalities' Integrated Development Plans.

Addressing community needs

Projects for consideration are identified through formal, regular contact with local authorities: Blyvoor with the Merafong City Council; Ergo with the Ekurhuleni Metropolitan Municipality; and Crown with the Johannesburg Metropolitan Municipality.

The main areas of focus are:

- ▶ education, with the emphasis on mathematics and science;
- ▶ skills development;
- ▶ sustainable job creation to alleviate unemployment and poverty;
- ▶ health (HIV & AIDS in particular);
- ▶ housing; and
- ▶ the overall improvement of the environment surrounding DRDGOLD's operations.

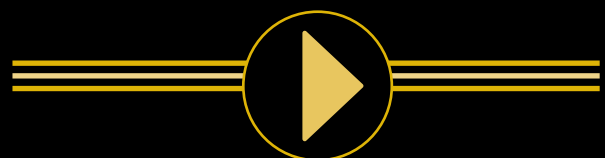
Projects

The Ekurhuleni Business Development Academy (EBDA) is the most significant LED project established by DRDGOLD to date. It aims to equip South Africans with the skills to pioneer much-needed enterprise development and, in doing so, to help uplift their communities.

EBDA offers training to corporate employees, private learners and unemployed community learners. This includes:

- ▶ learnerships for corporate sponsored employees in engineering, motor mechanics, new venture creation and construction skills;

DRDGOLD's occupational health strategy has two thrusts: trying to eliminate or reduce the source of health problems and regular medical monitoring of employees



Sustainable development review

continued

- ▶ short courses and skills programmes in metallurgy and minerals processing, engineering and adult basic education; and
- ▶ short courses in computer skills, operator training and licensing, and health and safety.

During the year, EBDA provided assistance to the Ekuhanyeni Primary School by improving the security of the school's library, which will be converted to a media centre in the near future.

The Khotso-Caritas Hospice, located in Ekurhuleni on land donated by ERPM, runs HIV & AIDS programmes for people in the area. These are aimed at:

- ▶ prevention and treatment, including the provision of VCT and ART;
- ▶ providing palliative care to terminally ill patients; and
- ▶ providing day care to children infected and affected by these diseases.

Other projects undertaken in FY2011 included a R433 000 refurbishment of facilities at the Riverlea Secondary School and an upgrade of the library – to a media centre – at the Crestview Primary School at a cost of R240 000.

Environmental performance

DRDGOLD is committed to the responsible management of the environment in which it operates. To this end, the group:

- ▶ adopts and implements environmental practices as outlined in the National Environmental Management Act, 1998; and
- ▶ ensures that its environmental management systems comply with environmental legislation and regulations set by the national departments of Mineral Resources (DMR), Environmental Affairs and Water Affairs and the National Nuclear Regulator (NNR).

In place at all of the operations, Environmental Management Plans (EMPs) address the company's impacts and potential impacts on the environment as well as the measures to manage, monitor and mitigate these. A biennial audit is undertaken to assess compliance with the EMPs and submitted to the DMR. The most recent audits were undertaken at Crown and Blyvoor in May/June 2011. No significant areas of non-compliance were noted.

Environmental incidents

Environmental incidents are monitored and reported to the relevant authorities as required. Sixteen environmental incidents occurred during the year:

- ▶ three relating to water pollution at Crown and three at Blyvoor, involving burst residue pipes and storm water run-off;

- ▶ seven dust-related incidents at Crown, involving windblown dust from reclamation sites and tailings surface facilities (TSFs); and
- ▶ three radiation incidents at Crown and ERPM, involving burst residue pipes, acid mine drainage from a reclamation site and the removal of scrap from the ERPM plant.

Steps were taken to remedy each of these incidents, including:

- ▶ increased pipeline controls, including tests on pipeline integrity;
- ▶ increased control of TSF paddocks at Blyvoor;
- ▶ installation of telemetric warning systems;
- ▶ various rehabilitation measures, including vegetation, cladding, dust suppression, shade netting and ridge ploughing; and
- ▶ demolition of the ERPM plant.

No fines were imposed on any of the group's operations during FY2011 in respect of environmental performance.

Stakeholder engagement on environmental issues

Together with other mines in the area, Blyvoor is a member of the Mining Interest Group (MIG) which regularly engages with the DMR, the departments of Environmental Affairs and Water Affairs and the NNR, and representatives of local authorities and municipalities. The MIG is represented on the implementation task team set up by government to look at viable, practical solutions to pollution issues regarding the Wonderfontein Spruit. DRDGOLD also participates in a number of public groups – the Far West Rand Dolomitic Water Association is one example.

Responsible use of resources

DRDGOLD is committed to using natural resources carefully and to reducing waste wherever possible. The most significant materials used are the rock that is mined and the sand and slimes that are retreated.

Cyanide, hydrochloric acid, caustic soda, lime, carbon and waxy fuel are the primary chemicals used. Other materials used are steel (for the crushing of ore in the mills), timber (for support underground) and explosives.

Petrol and diesel are used to power vehicles and equipment. In FY2011, DRDGOLD consumed 41 112 litres of petrol (FY2010: 52 330 litres) and 2 439 363 litres of diesel (FY2010: 2 079 311 litres). Consumption of fuel has decreased over the past five years as underground operations have scaled down. To further reduce consumption, Blyvoor is moving from using diesel locomotives to more energy efficient battery operated locomotives, and five of these were introduced during the year at a cost of some